

Factors

Note

Particulars

4. Profit Forces

Supplier Power	10	High
Buyer Power	11	Low
Threat of Substitution	12	Low
Threat of Entry	13	Moderate
Competitive Rivalry in the Industry	14	Moderate (Healthy)

5. Financial Health

ROE and DuPont Analysis (PAT Margin x Operating Asset Turnover x Leverage)	15	- Parag Milk Foods(FY19) - 5% X 3.5x X 1x = 17.5% - Hatsun Agro - 2.8% X 3x X 2x = 16.8% - Heritage Foods - 3.2% X 4x X 0.7x = 9.4% The industry is a low-margin, moderately-high-turnover business.
Growth	16	- Parag Milk Foods(5 yr CAGR) - - PAT - 49.32% - Revenue - 17.10% - Hatsun Agro(5 yr CAGR) - - PAT - 9.07% - Revenue - 13.81% - Heritage Foods (5 yr CAGR) - - PAT - 12.61% - Revenue - 7.87% The firms in the industry have been growing at low teens.